Ch. 5.4: The Economic and Monetary Union.

Germany
1 EUR = 2 DEM



Italy
1 EUR = 2.000 ITL



Austria
1 EUR = 13,5 ATS



Spain
1 EUR = 166 PTAS



Belgium
1 EUR = 40 BEF



Greece
1 EUR = 340 GRD



The Eurozone.



- Eurozone has now 21 Member States, represents 350 million people and 14% of the global GDP.
- Second-largest reserve currency in the world.

The Euro:

a single currency for Europeans is the key element of the Economic and Monetary Union.



Coins: one side with national symbols, one side common
Notes: no national side

The Economic and Monetary Union.

- **Advantage of one single currency in the EU over national currencies:**
  - The national currencies were subject to massive fluctuations in their value.
  - Some currencies like the Lira, French Franc, Greek Drachma, Spanish Peseta were regularly devaluated in relation to strong currencies, like the German Mark – e.g. by 10% per year.
  - Changes in the exchange rate caused massive problems for trade within the Single Market.
  - One currency for all countries in the Single Market would eliminate fluctuations.
  - Due to the very large money volume generated by the "merger" of the national currencies speculations with EU currencies would become much more difficult, if not impossible.
- **In December 1995 the European Council decided to introduce the EURO on 1 January 1999.**
- In principle all EU member states should introduce the EURO.
- DK has an opt-out option, but the exchange rates is tied to the Euro.
- SE, CZ, HU and PL would fulfill the criteria for joining, but not so RO.

The European Central Bank (ECB).

- **The European Central Bank (ECB):** started 1 January 1999 and became responsible for monetary policy.
- Thus the ECB replaced the National Banks of the ”Eurozone” countries in their key function, namely to issue currencies like Lira, DM etc.
- This meant a massive transfer of fiscal (and economic) sovereignty of a Member State to a European institution: Devaluations of weak currencies were not possible any more.
- ECB is independent from the member states, but political recommendations are made by the finance ministers of the Eurozone states.
- ECB sets the bank rate for inter-bank loans and consequently the actual interest rates for credits and deposits in the Eurozone.
- Enacts measures to stabilize financial systems – like the banking system or states where the budget deficit is too high (e.g. GR, IRL, PO, CYP).
- **The European System of Central Banks** (**ESCB**):

– European Central Bank (ECB) and the national central banks (NCBs) of all 27 European Union member states – align monetary policies of Eurozone with other member states.

Criteria for Joining the Eurozone.

- **Convergence criteria for joining the Eurozone:**

– **price stability**: rate of inflation may not exceed the average rates of inflation of the three member states with the lowest inflation by more than 1.5 %;

- **inflation**: long-term interest rates may not vary by more than 2 % in relation to the three member states with the lowest inflation;

- **deficits**: national budget deficits must be below 3 % of the GDP;

- **public debt:** this may not exceed 60 % of GDP;

- **Original Stability and Growth Pact for members of the Eurozone** ("Maastricht Criteria"):
  - annual deficit of state budget limited to 3% of GDP
  - total national debt limited to 60% of GDP
  - "sanctions" for deviation (0,2% of GDP – would be about 1 billion EUR for Austria).
- Member States would manage their own fiscal and economic system, usually by borrowing money (e.g. from international institutions like insurances or other states).
- But there would be a strict "No Bail-Out" rule within the Eurozone, in case a country would be unable to settle its debts.

Stability and Growth Pact.

- **Violation of Stability and Growth Pact:**

– In 2005 Portugal, Germany and France exceeded these limits for deficits and national debts – without consequences: the Council of Ministers had voted **not** to fine those states.

– Instead of a rigorous enforcement of the “Maastricht Criteria” reforms were adopted to provide more “flexibility” and ensure that the deficit criteria took into account the economic conditions of the member states.

– Nobody worried about the future of the Euro, particularly since the exchange rate of the Euro towards the US$ was steadily going up.

– Warnings of recognized experts were not taken seriously and consistently ignored by politics.

– This created the (wrong) impression that the economic and financial system of the EU was healthy and robust.

– But the global crisis resulting from the collapse of Lehman Bothers in 2008 - together with homemade problems – put an end to the original Growth and Stability Pact of the Eurozone.

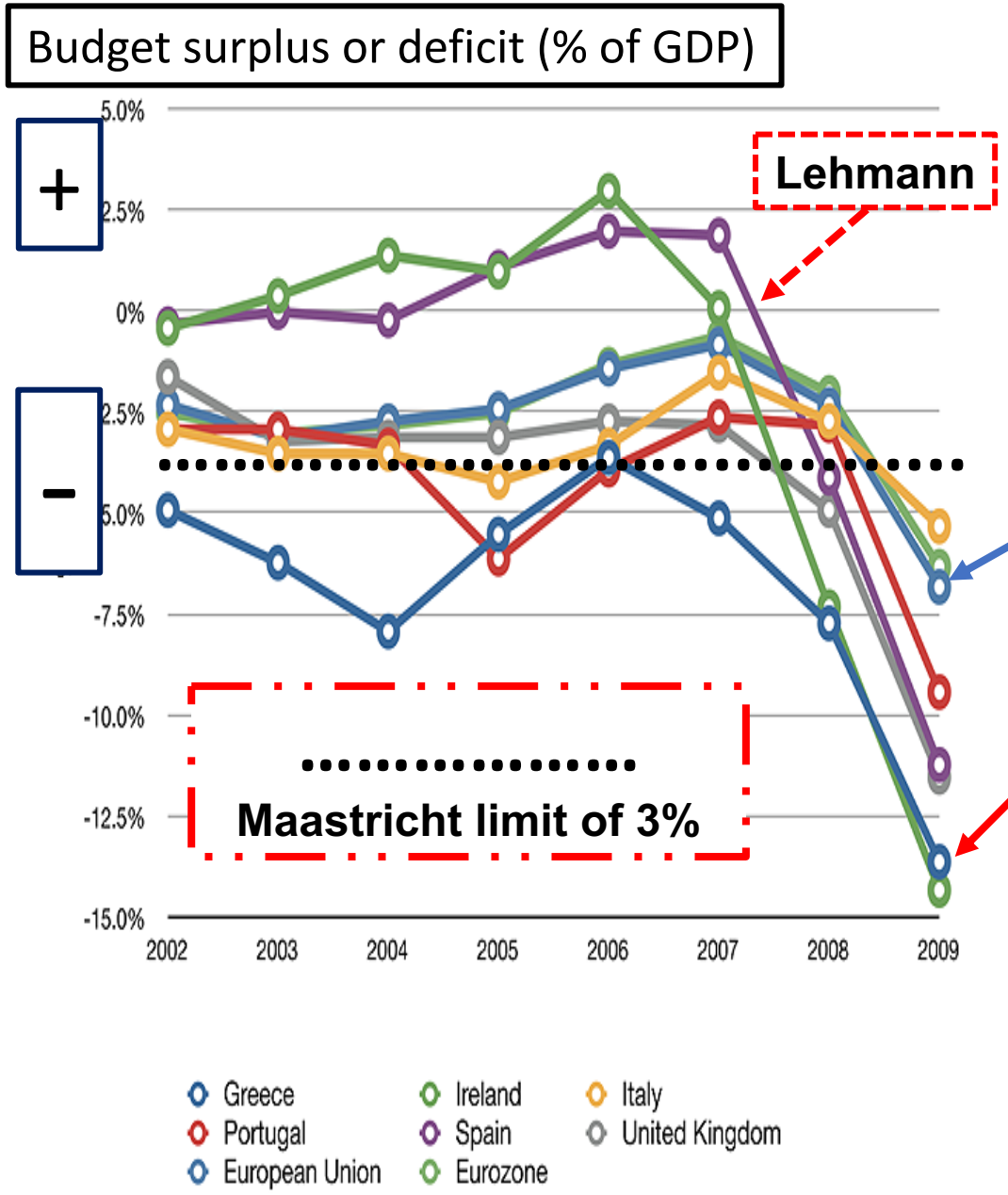
The Global Financial Crisis of 2008.

Roots of the global crisis:

- The WTO agreement of 1995 led to gradual but massive shift of the production of goods from the classical industrialized regions (USA, EU, Japan) to emerging economies, like China, India and other “developing countries”.
- These countries achieved a very large trade surplus and needed to “invest” the profits.
- A "Giant Pool of Money“ entered global capital markets between 2000 and 2007.
- Low interest rates stimulated huge investments by private companies and public spending by governments.
- Investors “Bubbles” developed: e.g. steadily increasing investments and asset prices (like housing and commercial property).
- When the “bubbles” burst a rapid decline of the value of these investments followed, but the liabilities owed to global investors remained at full price, generating solvency problems for the banks.
- The rise of interest rates for public borrowing by the governments caused increasing state deficits violating the Maastricht criteria.

Source: European sovereign-debt crisis, Wikipedia

The Eurocrisis.



- The average budget deficit of Eurozone members rose to 6,5% in 2009 with some states reaching even 13-14% (GR, IRL) and the sovereign (state) debts went up massively in all member states.
- Interest rates for state bonds rose sharply, particularly for Greece (25%), Portugal (14%), Ireland (12%), and to a lesser extent for Italy (7%) and Spain (7%).
- The interest rate a country must pay to find buyers depends on the risk for the investor which is established by rating agencies.
- It became clear that some countries of the Eurozone found it difficult (PO, ES, IT, IRL) or even impossible (GR, CYP) to re-finance their government debt on the international capital market without the assistance of third parties.

The Eurocrisis.

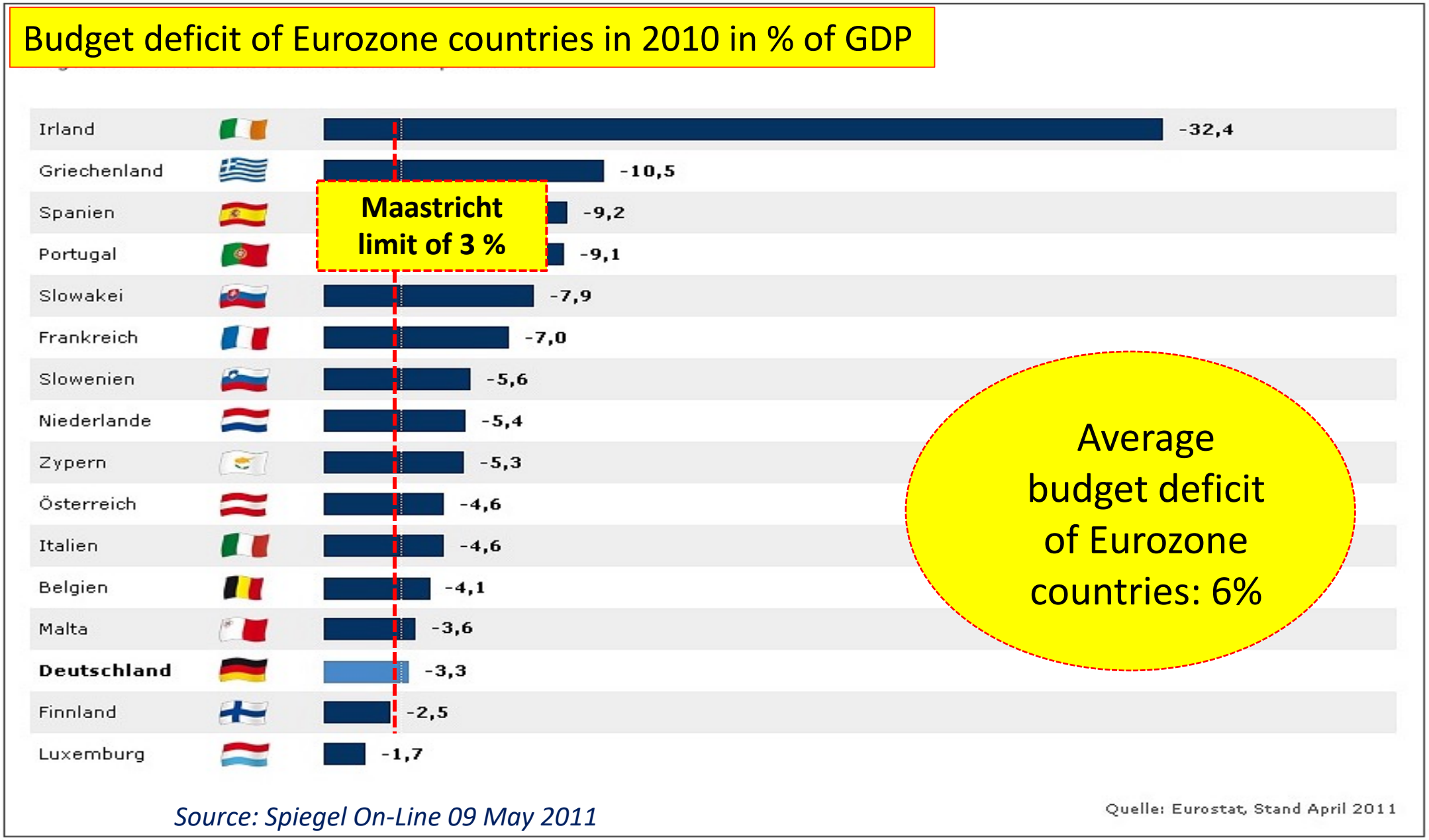
Fighting the "Eurocrisis":

- In 2010 it became clear that support measures for the Eurozone states not able to refinance their debt at reasonable costs (interest rates < 6%) needed to be taken.
- The ECB (in violation of the "No-Bail-Out-Clause") provided massive loans to such countries in cooperation with the International Monetary Fund (IMF), conditional on the implementation of harsh austerity measures:
  - €110 billion for Greece (2010),
  - €85 billion for Ireland (2010),
  - €72 billion to Portugal (2011),
  - €100 billion for Spain (2012),
  - €10 billion for Cyprus (2012).

The money given to theses states had to be raised by the ECB on the international money market as loans guaranteed by the Eurozone countries.
Share of Austria: 22 billion EUR.

- Greece was not able to regain the confidence of the markets: 20% interest for 2-year loans (DE 2%).
- Therefor Greece was granted a „voluntary" reduction of its debts by private lenders amounting to 130 billion EUR in early March 2012 ("haircut").
- A social crisis developed in the most affected countries: unemployment rate Spain and Greece 27%.

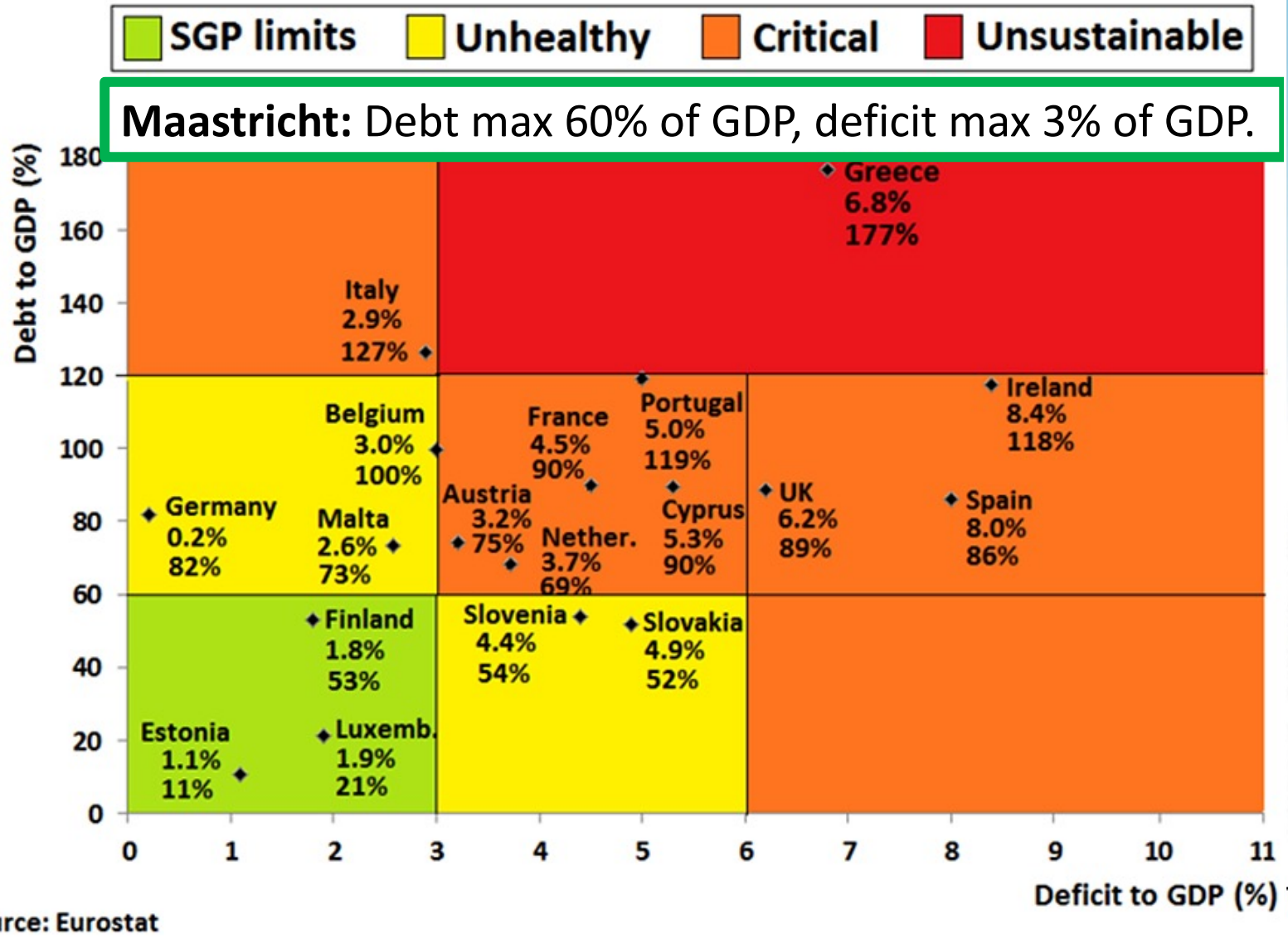
Budget Deficits of Eurozone Countries.



Source: Spiegel On-Line 09 May 2011

The Eurocrisis.

Budget deficits and public debts 2012.

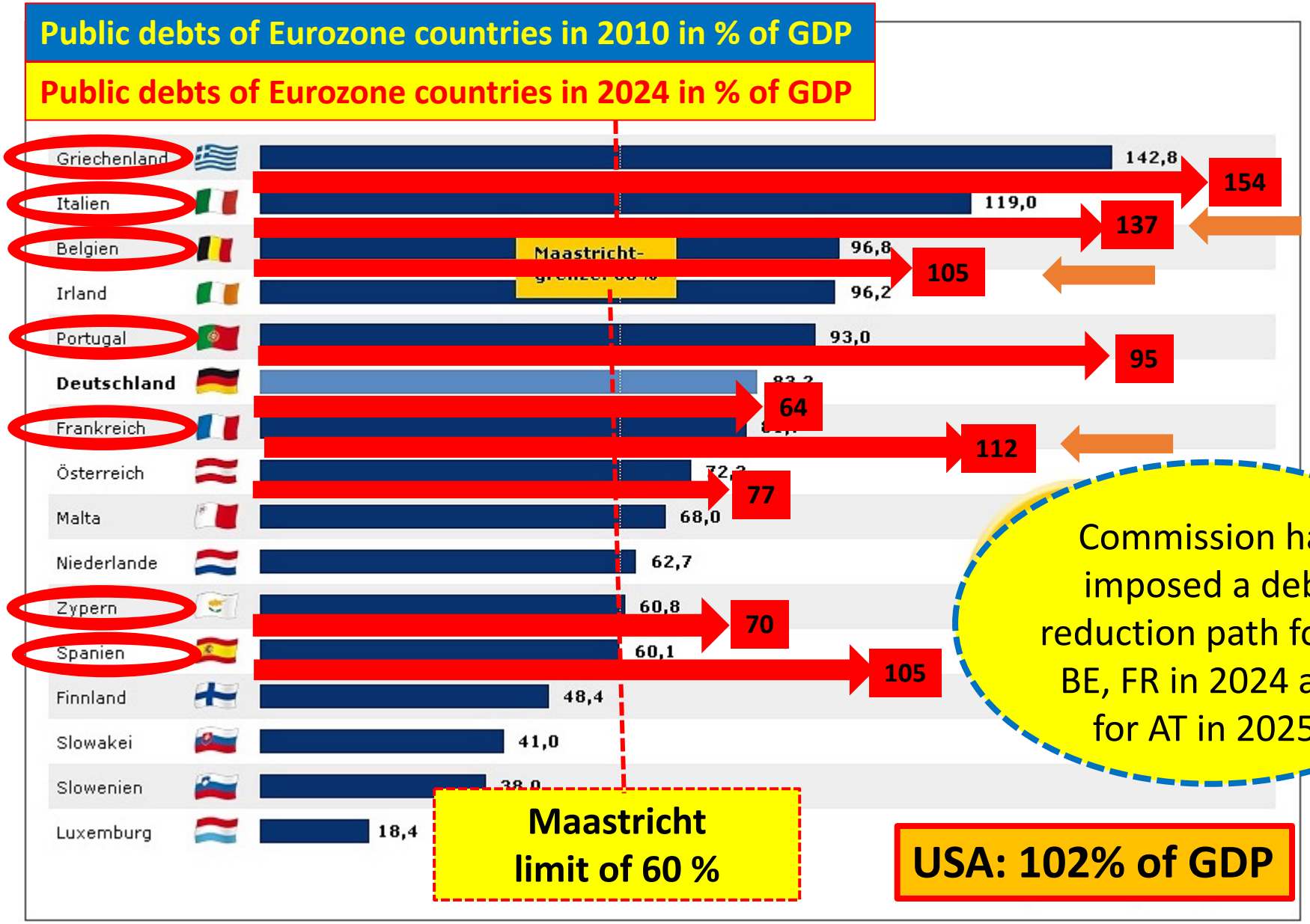


Source: Eurostat



The highest mountain of Europe:
Italy‘s debts.

Public Debts of Eurozone Countries.



Source: Spiegel On-Line 09 May 2011, EUROSTAT 2021

Fighting the Euro-Crisis: OMT of ECB.

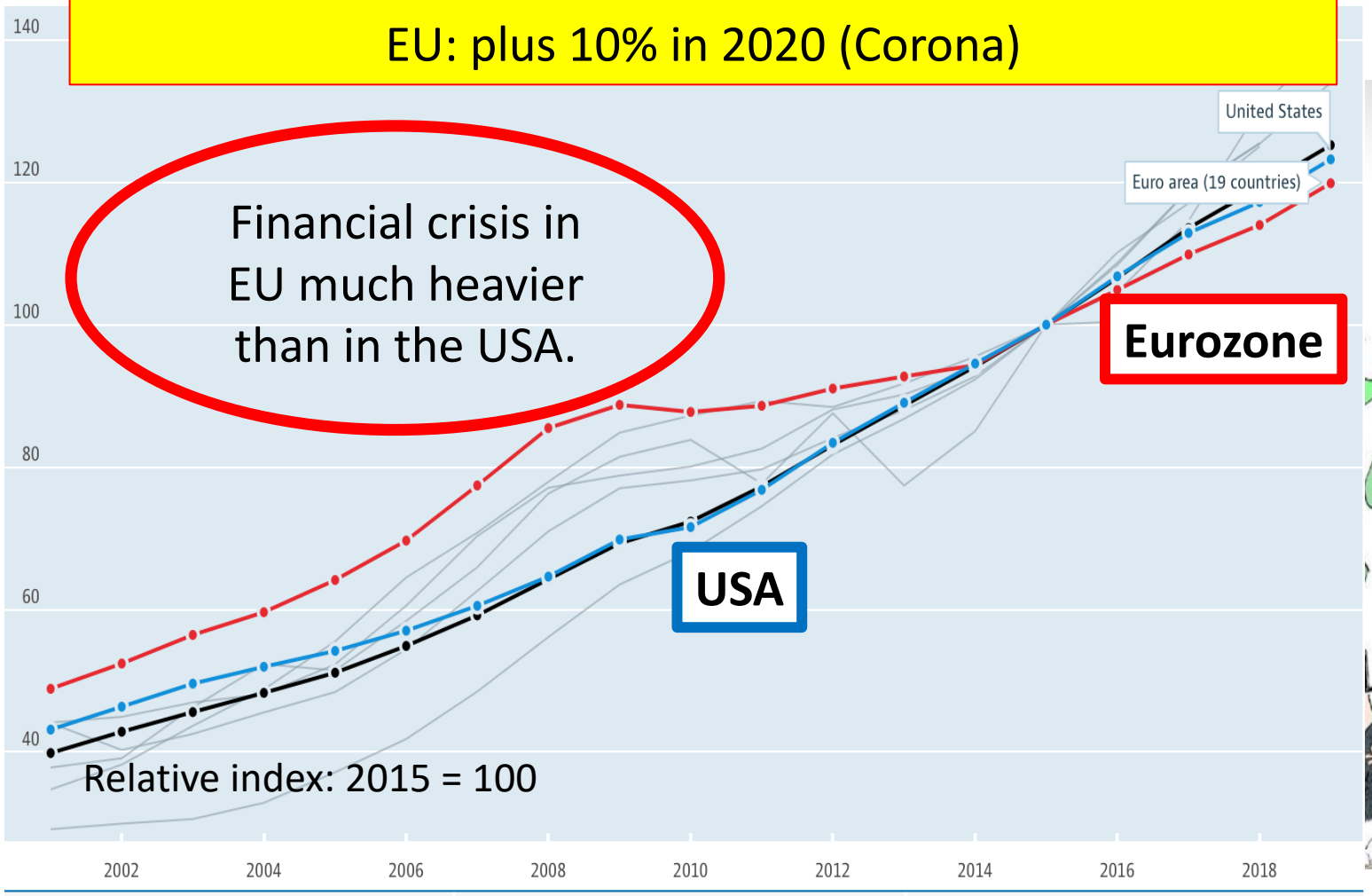
- **OMT (Outright Monetary Transactions) Programme of ECB – "Quantitative Easing":**
  - Decision of ECB of October 2014 to buy ABS (Asset Backed Securities/Government Bonds) of national banks (without limit) irrespective of their rating.
  - These "asset backed securities" are expected largely from Southern countries and are collectively owned by the Eurozone Member States who would cover eventual losses.
  - Aim: to stimulate economy allowing banks to provide credits at low interest rates.
  - Many law experts consider that this decision of the ECB (which was opposed by the representatives of DE and AT) violates the Maastricht Treaty which set up the constitution of the ECB since it transfers risks of states/national banks to the European level ("Vergemeinschaftung der Schulden").
  - The Maastricht Treaty does however allow such transfers of risks under circumstances of a "catastrophe" or a "severe crisis".
  - Finally the European Court of Justice approved the OMT on 16 June 2015.
  - OMT program originally had a limit of 2.600 billion EUR.
  - 2020: Pandemic Emergency Purchase Programme: 1.850 billion

Money Volume.

Development of Money Volume (M3 “broad money”) provided by Central Banks of the USA and EU.

In the USA and EU M3 increased 3x from 2001 till 2019
EU: plus 10% in 2020 (Corona)

Financial crisis in EU much heavier than in the USA.



Money Volume: Correlated/Coordinated Policy USA/EU?



Fighting the Euro-Crisis: European Supervision System for Banks.

- **European supervision system for banks by the ECB covers the 300 largest banks in the EU.**
- Stress tests for system-relevant European banks carried out in 2014 and 2016 revealed insufficient capital endowment for major banks, e.g. Monte dei Paschi (oldest bank of Italy, Siena) *de facto* bankrupt.
- As a consequence banks have built up their capital base leading to a a more stable system, a.o. through mergers (Bank Austria was taken over by Unicredit of Milano).
- General goal: Creating a European Banking Union.
- **"New Stability Pact" with monitoring and "soft control" of the budgets of Member States:**
- Member States must include debts of outsourced entities: in Austria the public debt rose by +28,7 billion EUR.
- MS have to submit their budget plans to the Commission for approval.
- A deficit violation procedure can be initiated where the country is obliged to follow a deficit reduction path defined by the European Commission (enacted for Austria in 2025 – deficit 4,6%).

The rules set up by the Commission are very complex (100 pages) and give Member States opportunities for individual interpretation.

Stimulation of Economy.

- **Investment programme for Southern/Eastern Europe set up by European Commission:**
  - Volume 300 billion EUR to simulate economy and to reduce unemployment.
  - Source of money: partly EU budget, private investors, credits given by EIB, credits taken on the international money market and guaranteed by the Member States of the Eurozone.
  - Investments in infrastructure (highways, cities, new energy systems, communication structures...).
- **Programme Next Generation EU (2020):**
  - "Recovery programme" from Corona-crisis with a volume of 750 billion EUR for the period 2021-2023, particularly for pandemic stricken economies: Italy, Spain, France ….
  - 390 billion are direct financial aid, 360 billion are loans (repayment till 2058).
  - Austria will receive 3,5 billion EUR, but guarantees for 20 billion.
  - Main focus: investments in a green, digital and resilient EU (supporting the goals of the "Green Deal").
  - Begin of "Vergemeinschaftung der Schulden" (Common EU-debts).

Possible Long-Term Solutions ?

- **Eurobonds:** Such "stability bonds“ issued jointly by all 21 eurozone states would allow weak countries to borrow money at low rates.
  - Differences in interest rates between sound borrowers (DE now 2,4% for 10 years bonds) and weaker countries (GR 3,8%, IT 4,2%) would be equalised and an average rate would apply for Eurobonds (3% ?).
  - Would therefore make refinancing more expensive for DE and AT.
  - First step towards Eurobonds made in 2020 with the Programme “Next Generation EU” of 750 billion EUR financed jointly by all EU MS through credits taken at the international money market.
- **“Stability Pact” with rigorous direct control of the budgets of Member States and European fiscal union and revision of the Lisbon Treaty (in conceptional stage):**
  - New intergovernmental treaty to put strict caps on government spending and borrowing, with penalties for those countries who violate the limits.
  - Central body endowed with increased control over the budgets of member states and a “European “Finance Minister”.

Significance of the EURO.

- Globally 35% of all international payments are done in EURO (40% in US$). Currency reserves: 20% Euro, 60% US$, 7% Remimbi.
- Euro has become the second global currency.
- This means that there is substantial demand for purchasing Euro by countries which build up national reserves and by private investors.



- This demand increased the value of the Euro since its introduction from 1,18 US$ to about 1,58 US$ making imports into the EU cheaper, but exports more expensive.



- Now (July 2026) reduced to 1,14 US$ as a consequence of the fiscal policy of the EC, poor growth and massive inflation in EU 2022-2023.

Superman is back again!